

GLOBAL FX TRADER

Heating Up

Our thoughts on USD, JPY, The Resolution Playbook, EM Carry, CAD, INR and IDR

- **USD: Divided we stand.** The divided dollar spent another week wrestling offsetting impulses but finished the week moderately stronger. On the one hand, cyclical activity data remains firmly reflationary, with a bumper payrolls report and the ISM surveys providing evidence both of better growth prospects and uncomfortable inflationary pressures, and that has pushed rate differentials in favour of the Dollar, especially versus Europe. On the other hand, while many commodity and high carry EM currencies have been resilient through the conflict, as US-Iran negotiations inch forward, the potential for lower oil prices and relief across key energy importing economies has raised the prospect of gains across lower-yielding cyclical currencies as well (see Resolution Playbook bullet). And over this period, the persistent appreciation in the Chinese Renminbi—a trend that we think is likely to be gradual but sustained beyond consensus expectations—and the stickiness of the Japanese Yen—through a combination of actual and threatened interventions—has meant that the Dollar is truly divided. As an illustration, the DXY index with a heavy weight in the Euro and other G10 currencies is up ~+1.5% year-to-date even as the broader USD Trade-weighted Index is down by about ~-0.1% ([Exhibit 1](#)). We continue to think that the imprint of the War will keep the cyclical news in the Dollar's favour for a while longer versus the majors, but if the data is unable to push the Dollar clearly out of recent ranges, the focus may shift to upcoming policy meetings. Given the current resilient activity and high inflation mix, Chair Warsh may come across as more hawkish than many market participants expect, but that may not be enough to push the Dollar higher if global equity risk continues to trade well on more positive Iran War headlines and that weighs on the cyclical dollar. Without a clearer resolution one way or another, we envisage more divided Dollar performance ahead, and a fair backdrop for carry strategies.

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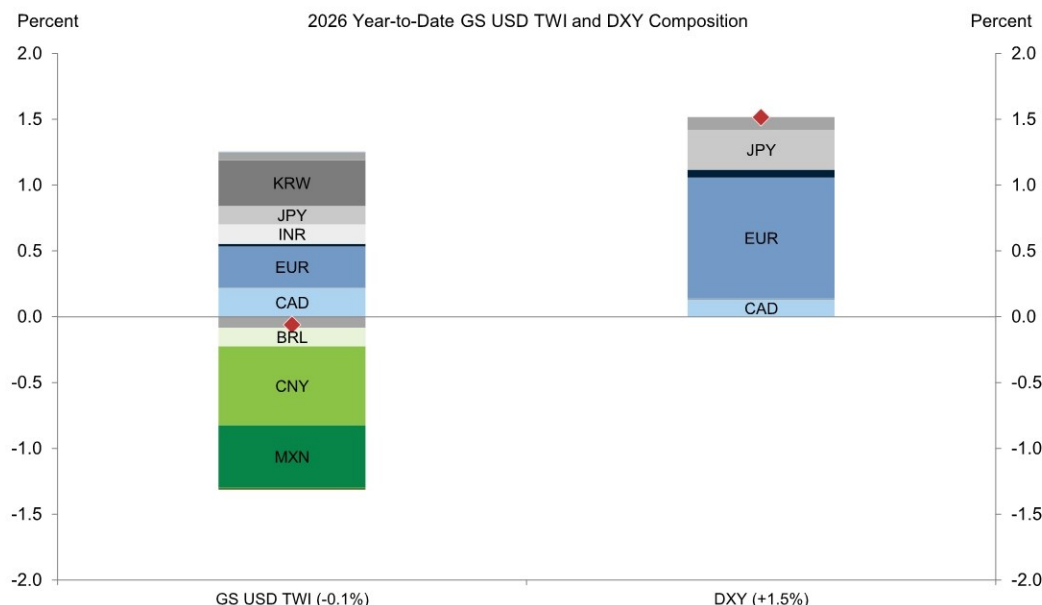
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Exhibit 1: Divergent year-to-date performance across DXY and our Dollar TWI is testament to divided recent Dollar performance

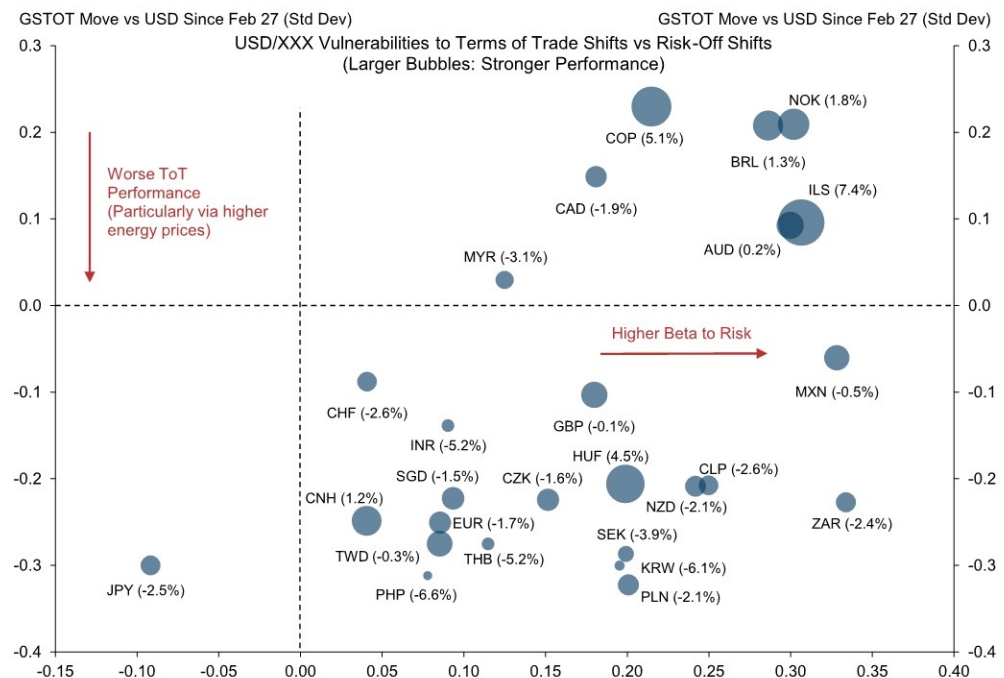


Source: Bloomberg, Goldman Sachs Global Investment Research

- JPY: Taking the hike.** Governor Ueda in his June 3 speech appeared to signal a hike at the next BoJ meeting, endorsing market pricing and leading our economists to pull forward their July hike to June. In his remarks, he alluded to one justification being that markets could perceive the Board as behind the curve if it were to disappoint expectations, which would put further upward pressure on long-term yields—a point he also likely emphasized when meeting with PM Takaichi a couple weeks ago. Though the main emphasis, since even the April meeting, was greater concern around the upside risks to inflation rather than the downside risks to growth. The challenge for the BoJ is the high bar for a hawkish surprise, and a continued message of only gradual hikes would likely prove insufficient to strengthen the currency. We also see two other reasons to anticipate continued depreciation pressures over the nearer-term, even if the administration intervenes again. First, the combination of higher-for-longer US yields (with risks still skewed to the upside) and constructive risk sentiment tends to weigh on the Yen. Second, lingering fiscal risks will likely return to the forefront with spending plans set to be clarified over the coming months. Moreover, those anticipating JPY-positive repatriation flows are still likely to be left disappointed, barring any policy directive or a more favorable rate differential. But even the impact of a policy pivot could be relatively short-lived without a change in the broader macro backdrop; FX tends to trade most closely with cyclical fundamentals rather than capital flows when they have opposing implications. Taken together, we continue to like JPY funding despite intervention risk.
- The Resolution Playbook.** As the conflict in the Middle East nears the 100-day mark, flows through the Strait remain heavily constrained, and terms of trade pressures in FX markets have continued to steadily expand. While we continue to think the onus is on a tangible recovery in energy flows to start reversing the terms

of trade imprint, the recent string of more constructive soundbites on the conflict have shifted investor focus to resolution opportunities. We think the simple framework we have been using throughout the energy shock offers a useful playbook for deescalation in FX markets. Many of our preferred longs in recent months have been procyclical currencies that are net energy exporters (including AUD and BRL), and while risk-sentiment should remain firmly supported on a resolution and keep procyclical currencies bid, the terms of trade dimension of the shock should reverse. Along these two axes, we think the candidate outperformers on a resolution would rotate from high-beta energy exporters (the upper-right quadrant of [Exhibit 2](#)) to high-beta energy importers (the lower-right quadrant). We see ZAR, KRW, PLN, CLP, and HUF as the most likely beneficiaries in EM space, with recent HUF outperformance on the EU convergence trade an unlikely barrier to further gains from energy relief in our view, though continued equity outflows in Korea would likely undermine the resolution boost for KRW. In G10 space, we see SEK, NZD, and GBP as the top candidate resolution longs under this framework. Overlaying the potential terms of trade reversal with domestic macro and valuation factors remains key in our view though, and is a reason why we see greater value in targeting a reversal in AUD/NZD versus in NOK/SEK for instance, and why we remain constructive HUF even without a resolution. Finally, even in the event of a full restoration of energy flows through the Strait, we see a high hurdle for a full reversal in many of these pairs. Our commodity strategists' year-end energy forecasts stand well above their pre-conflict projections, even accounting for an eventual resolution, and the parallel to the 2022 energy shock is a key reminder that terms of trade effects can extend even after commodity prices have peaked.

Exhibit 2: High-beta energy importer currencies would likely benefit most from a resolution to the conflict, unwinding their recent outperformance

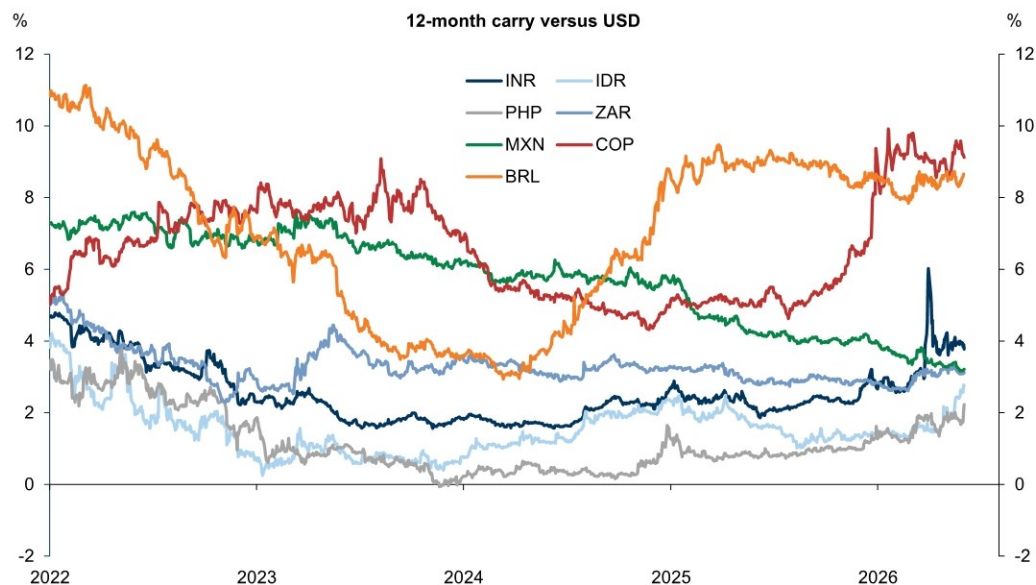


Source: Goldman Sachs Global Investment Research, Goldman Sachs FICC and Equities

- **EM Carry: Switching gears and carrying on.** We have favoured carry accrual strategies in EM FX against a backdrop of declining implied volatility, broadly flat YTD returns for the dollar, and reduced room for EM central banks to deliver cuts that would have steadily eroded carry levels. We have argued for a selective approach when constructing FX carry baskets, where carry levels, relative terms of trade shifts, and idiosyncratic developments all play a crucial role, and have highlighted BRL, HUF, MXN, and ZAR as our preferred longs. Among these, we maintain a constructive view on HUF driven by EU fund and Euro adoption tailwinds, which more than offset the impact of higher energy prices on external balances. This positive HUF view is not reliant on a conflict resolution (though we expect HUF to be among the outperformers in this scenario), whereas for ZAR, near-term tactics remain more sensitive to the back-and-forth on an eventual deal. MXN is more levered to US-specific cyclical pricing and more insulated from a terms-of-trade perspective. However, even as the Peso has been a relative outperformer, we find that it has still underperformed the rally in US equities, arguing for further appreciation ahead if US cyclical pricing remains supported. In Colombia, we had taken a more cautious view on COP due to rising political noise and limited undervaluation signal, especially when compared with long-end bonds. However, if local factors turn more supportive (with the signal from the first round of the presidential elections going in that direction), we think COP carry longs screen as increasingly more attractive, as the Peso benefits from Colombia's recent terms of trade surge, and a proactive BanRep hiking cycle—which should resume after the elections and which has taken carry levels close to 10%. BRL has seen a similar improvement in its terms of trade, it also yields close to 9% carry, and has traded closely in line with its typical betas to global market variables. Still, if rising political noise ahead of the October elections leads to higher volatility (as we expect), we think it makes sense to partly rotate from BRL longs to COP longs, if Colombian local developments remain supportive after the second round. Finally, we think there is a growing case for adding INR back into diversified carry baskets in the event of a clearer resolution that pushes oil prices lower (see INR bullet).
- **CAD: Trading blows.** Through much of the energy shock CAD had been relatively resilient—at points outperforming the Dollar just behind the likes of AUD and NOK—consistent with Canada's status as an energy exporter. But, unlike the more procyclical AUD and NOK, CAD's higher beta to the broad Dollar has weighed on the currency on “de-escalatory” days when oil prices decline. In our view, that tension between terms of trade and broad Dollar exposure helps explain CAD's more middling performance in recent weeks, alongside a soft domestic backdrop which we expect to be an increasingly meaningful driver as markets shift focus beyond the energy shock. Recent data has disappointed, including the Q1 GDP report which showed a second consecutive quarter of contraction—one definition of recession, and the labor market remains fragile. There are reasons not to overstate softness: GDP data are lagged, some survey indicators have improved on the margin, and the composition of the May employment report was strong with a decline in the UR despite stable participation and full-time employment gains. But broadly, while the worst may be behind us, the data have yet to show any convincing pickup. And trade uncertainty is an additional reason for caution. Canada and Mexico have now

formally requested a USMCA renewal, but while the US and Mexico have already announced bilateral negotiating rounds, formal talks between the US and Canada have not begun. That is consistent with our expectation that USMCA negotiations are likely to proceed bilaterally with US-Canada talks proving more difficult, mirroring the original USMCA process and the 2025 fentanyl-related tariffs. While USMCA would remain in effect if negotiations continue past July 1 deadline, extended trade uncertainty should weigh on the currency by deterring investment and keeping the Bank of Canada on the more dovish end of the central bank spectrum (and on hold in our economists view at the upcoming June meeting). Given the domestic backdrop, trade uncertainty, and CAD carry to vol close to multi decade lows, we think CAD funding looks attractive particularly vs EM carry longs (see EM Carry bullet) and we revise our USD/CAD forecasts higher to 1.40, 1.38, 1.38 in the 3,6, and 12 months (from 1.36, 1.34, 1.32 previously).

- **INR: Plateauing not peaking.** We think there is a growing case for adding the Rupee back into diversified carry baskets as we have discussed. Carry levels in the INR have increased since the beginning of the US-Iran War, and they are now higher than other Asia high-yielders (IDR and PHP) and even higher than some other popular carry candidates across EM such as ZAR and MXN (Exhibit 3). Likewise, while the Rupee is still at fair levels on a trade-weighted basis and rich relative to key currencies like the CNY, it now screens among the more undervalued EM currencies versus the Dollar among the higher carry complex on our GSDEER and GSFEER metrics. And while the RBI stayed on hold this week (with hikes likely to come later in the year), they also implemented some new measures that should mitigate the portfolio outflow pressure on the balance of payments. Prominent among these are an exemption of tax on capital gains or interest income on foreign investments in government securities, foreign investor access extended to securities further out to ultra-long-end maturities, and exemptions for banks raising foreign currency bonds and deposits. Taken together, these considerations should limit the depreciation pressure on Rupee, but to be clear, we do not expect substantial spot appreciation either. The Rupee depreciation is not out of line with other key energy importing currencies in the region, and we expect that any renewed capital inflows should and will be used to rebuild the reserve buffer and unwind the short forward book. In that sense, we envisage a plateau in the USD/INR cross rate, and are rolling forward our forecasts to 96, 96 and 97 in 3, 6 and 12 months (from 97, 96 and 96 previously).

Exhibit 3: INR carry is now higher than for other Asia high-yielders (IDR and PHP), ZAR and MXN


Source: Goldman Sachs FICC and Equities, Goldman Sachs Global Investment Research

- IDR: Increasing domestic risk premium.** USD/IDR broke above 18,000 for the first time ever this week, and is now the worst performing currency in Asia. While the Middle-East conflict pushed USD/Asia higher, increasingly domestic developments are playing a greater role in IDR depreciation. Even though BI delivered a larger than expected 50bp hike on May 20th, other factors have led to an increase in risk premium. First, the government plans to centralize natural resource exports and retain export proceeds in state banks, and business groups are seeking clarity on this policy: while it is aimed at improving tax revenue and preventing exports under-invoicing, investors are worried that this added bureaucracy can delay/slow down exports. Second, Indonesia's House of Representative passed a Law to expand BI's mandate adding a more explicit pro-growth and employment objective to BI's existing mandate on price and exchange rate stability, leading to investor concerns around the inflation targeting framework. Third, we expect MSCI to provide updated guidance on its treatment of Indonesian equities, including its EM status, by June 23. MSCI has already rebalanced Indonesia's weight lower in May, leading to around USD 1.7bn of passive outflows. Any additional downgrade could trigger further outflows. Separately, the FTSE Global Equity Index rebalancing will take effect after June 19, for which we estimate a further ~US\$400mn of passive outflows. The above development adds to the already challenging set of macro-objectives including the President's pro-growth preference, maintaining fuel subsidies, free meal program (albeit already reduced to 1.1% of GDP from 1.3%) and keeping within the 3% fiscal deficit cap. Given the challenging macro background and rising domestic risk premium, we maintain our bearish view on the IDR and Indonesian rates markets.

Global FX Forecasts

	Current Spot	3-Month Horizon		6-Month Horizon		12-Month Horizon	
		Forward	Forecast	Forward	Forecast	Forward	Forecast
G10							
EUR/\$	1.16	1.17	1.14	1.17	1.18	1.18	1.20
£/\$	1.34	1.34	1.33	1.34	1.34	1.34	1.33
AUD/\$	0.71	0.71	0.72	0.71	0.73	0.71	0.74
NZD/\$	0.59	0.59	0.60	0.59	0.61	0.59	0.62
\$/CAD	1.39	1.39	1.40	1.38	1.38	1.37	1.38
\$/CHF	0.79	0.78	0.78	0.77	0.76	0.76	0.76
\$/NOK	9.34	9.36	9.30	9.38	8.98	9.41	8.75
\$/SEK	9.39	9.34	9.65	9.30	9.15	9.22	8.75
\$/JPY	160	159	160	158	158	155	155
EMEA							
\$/CZK	20.8	20.8	21.5	20.8	20.7	20.8	20.2
\$/HUF	305	306	311	307	297	308	288
\$/PLN	3.65	3.65	3.77	3.65	3.60	3.66	3.54
\$/RON	4.53	4.55	4.52	4.58	4.39	4.62	4.38
\$/RUB	75.88	75.88	80.0	78.15	85.0	82.31	90.0
\$/UAH	44.3	45.5	44.0	46.8	46.0	49.5	48.0
\$/TRY	46.03	50.30	48.0	54.75	50.0	64.49	54.0
\$/ILS	2.90	2.89	3.00	2.89	3.05	2.87	3.10
\$/ZAR	16.31	16.43	16.50	16.56	16.00	16.82	15.75
\$/NGN	1361	1401	1325	1442	1300	1513	1250
Americas							
\$/ARS	1437	1516	1500	1604	1600	1804	1800
\$/BRL	5.06	5.18	4.90	5.29	5.00	5.51	5.00
\$/MXN	17.28	17.42	17.75	17.55	18.00	17.84	18.00
\$/CLP	896	896	920	896	900	896	860
\$/PEN	3.41	3.42	3.40	3.44	3.35	3.47	3.30
\$/COP	3562	3638	3600	3721	3700	3888	3750
Asia							
\$/CNY	6.77	6.71	6.80	6.67	6.70	6.58	6.50
\$/HKD	7.83	7.81	7.80	7.79	7.80	7.76	7.80
\$/INR	95.79	96.78	96.00	97.69	96.00	99.37	97.00
\$/KRW	1532	1530	1460	1527	1440	1522	1420
\$/MYR	4.01	4.00	3.90	3.99	3.80	3.97	3.70
\$/SGD	1.28	1.28	1.28	1.27	1.25	1.25	1.24
\$/TWD	31.5	31.6	31.5	31.7	31.0	31.8	30.5
\$/THB	32.66	32.53	34.00	32.40	33.50	32.08	33.00
\$/IDR	18033	18119	17000	18245	17100	18490	17200
\$/PHP	61.62	61.76	62.00	61.98	61.00	62.47	61.00
Euro Crosses							
EUR/GBP	0.86	0.87	0.86	0.87	0.88	0.88	0.90
EUR/CHF	0.92	0.91	0.89	0.91	0.90	0.89	0.91
EUR/NOK	10.85	10.91	10.60	10.96	10.60	11.07	10.50
EUR/SEK	10.90	10.89	11.00	10.88	10.80	10.86	10.50
EUR/CZK	24.20	24.27	24.50	24.33	24.40	24.46	24.20
EUR/HUF	354	357	355	359	350	363	345
EUR/PLN	4.24	4.25	4.30	4.27	4.25	4.31	4.25
EUR/RON	5.26	5.30	5.15	5.35	5.18	5.44	5.25
EUR/RUB	88.1	88.4	91.2	91.4	100.3	96.9	108.0

Note: Spot values are as of Thursday's close.

See dynamic table here (or click image above): <https://publishing.gs.com/content/themes/fx-forecasts.html>

Source: Goldman Sachs Global Investment Research

Return Forecasts & Valuations

	Current Spot	Forecast: 12-Month Return (%)				GSDEER			GSFEER			Average Estimate	PPP*
		Spot	Carry	Total	NEER	Estimate	Misalignment		Estimate	Misalignment			
							Bilateral	Trade- Weighted		Bilateral	Trade- Weighted		
G10													
EUR/\$	1.17	3.0	-1.4	1.5	2.3	1.20	-3%	8%	1.18	-1%	1%	1.19	1.52
GBP/\$	1.34	-0.8	0.2	-0.6	-2.5	1.22	10%	24%	1.30	4%	6%	1.25	1.50
AUD/\$	0.72	3.3	0.8	4.1	0.2	0.81	-12%	11%	0.72	-1%	7%	0.78	0.70
NZD/\$	0.59	4.5	-0.7	3.7	1.5	0.67	-11%	3%	0.62	-4%	1%	0.65	0.67
\$/CAD	1.38	4.4	-1.4	3.0	3.6	1.21	-12%	-8%	1.34	-2%	0%	1.27	1.17
\$/CHF	0.78	3.4	-3.9	-0.6	1.6	0.84	8%	15%	0.800	2%	4%	0.83	0.92
\$/NOK	9.25	5.8	0.7	6.5	3.5	6.38	-31%	-23%	8.92	-4%	-3%	7.39	8.87
\$/SEK	9.25	5.7	-1.8	3.8	3.1	7.41	-20%	-12%	8.99	-3%	-2%	8.04	8.26
\$/JPY	159.2	2.7	-2.9	-0.2	0.5	93	-41%	-32%	140	-12%	-6%	112	93
EMEA													
\$/CZK	20.84	3.3	-0.4	2.9	1.1	25.4	22%	29%	20.8	0%	1%	23.6	15.8
\$/HUF	304	5.8	1.0	6.9	3.8	318	4%	15%	329	8%	8%	322	261
\$/PLN	3.63	2.4	0.4	2.8	0.9	3.92	8%	15%	3.7	2%	3%	3.84	2.43
\$/RON	4.50	2.9	1.7	4.7	--	--	--	--	5.25	17%	16%	--	--
\$/RUB	73.1	-18.8	8.5	-11.9	-20.5	76.80	5%	18%	75.94	4%	4%	76.46	40.15
\$/UAH	44.26	-7.8	11.7	3.9	--	--	--	--	--	--	--	--	--
\$/TRY	45.86	-15.1	40.7	19.5	-15.3	32.15	-30%	-26%	45.51	-1%	2%	37.49	29.15
\$/ILS	2.82	-9.1	-0.9	-9.9	-9.9	3.54	26%	36%	3.03	8%	6%	3.34	4.70
\$/ZAR	16.2	3.1	3.1	6.3	0.7	12.97	-20%	-11%	15.4	-5%	-3%	13.96	18.40
\$/NGN	1376	10.1	10.9	21.0	--	--	--	--	--	--	--	--	--
Americas													
\$/ARS	1409.6	-21.7	26.3	4.6	-23.1	--	--	--	--	--	--	--	--
\$/BRL	5.04	0.8	8.5	9.3	0.1	4.22	-16%	-3%	5.18	3%	9%	4.61	5.28
\$/MXN	17.32	-3.8	3.2	-0.8	-5.0	19.33	12%	21%	17.23	-1%	2%	18.49	20.29
\$/CLP	891	3.6	0.0	3.6	2.2	673	-24%	-13%	830	-7%	-2%	736	787
\$/PEN	3.41	3.5	1.7	5.2	2.3	2.75	-20%	-6%	2.98	-13%	-11%	2.84	4.24
\$/COP	3640	-2.9	9.5	6.3	-3.8	3502	-4%	12%	3823	5%	7%	3630	3298
Asia													
\$/CNY	6.78	4.2	-2.8	1.4	2.7	5.02	-26%	-17%	5.89	-13%	-10%	5.37	5.82
\$/HKD	7.83	0.4	-1.0	-0.5	-2.8	6.93	-12%	10%	6.67	-15%	-7%	6.82	5.85
\$/INR	95.70	-0.3	4.1	3.8	-1.9	85.85	-10%	-2%	86.97	-9%	-6%	86.30	57.50
\$/KRW	1494	5.2	-1.0	4.2	3.2	1169	-22%	-8%	1161	-22%	-17%	1166	929
\$/MYR	3.98	7.5	-1.0	6.5	4.6	3.26	-18%	-1%	4.02	1%	8%	3.56	1.95
\$/SGD	1.276	2.9	-2.6	0.2	-0.2	1.36	7%	26%	1.30	2%	8%	1.34	0.57
\$/TWD	31.42	3.0	0.7	3.7	0.0	24.9	-21%	-1%	26.1	-17%	-12%	25.3	13.2
\$/THB	32.70	-0.9	-1.9	-2.8	-3.7	30.99	-5%	15%	33.83	3%	10%	32.13	18.82
\$/IDR	17789	3.4	2.7	6.2	0.6	14113	-21%	-5%	15947	-10%	-3%	14846	10885
\$/PHP	61.63	1.0	1.4	2.4	-1.8	58.94	-4%	18%	63.29	3%	11%	60.68	52.56
Euro Crosses													
EUR/GBP	0.87	-3.7	1.6	-2.1	-2.5	0.98	14%	24%	0.91	5%	6%	0.95	1.01
EUR/CHF	0.91	0.4	-2.4	-2.1	1.6	1.01	11%	15%	0.94	3%	4%	0.98	1.40
EUR/NOK	10.78	2.7	2.1	4.8	3.5	7.65	-29%	-23%	10.49	-3%	-3%	8.79	13.46
EUR/SEK	10.78	2.7	-0.4	2.2	3.1	8.89	-18%	-12%	10.58	-2%	-2%	9.56	12.54
EUR/CZK	24.28	0.3	1.0	1.3	1.1	30.45	25%	29%	24.47	1%	1%	28.06	24.02
EUR/HUF	355	2.8	2.4	5.1	3.8	381	8%	15%	387	9%	8%	384	396
EUR/PLN	4.23	-0.5	1.8	1.3	0.9	4.70	11%	15%	4.4	3%	3%	4.57	3.68
EUR/RON	5.25	-0.1	3.1	3.1	--	--	--	--	6.18	18%	16%	--	--
EUR/RUB	85.1	-21.2	9.9	-11.2	-20.5	92.1	8%	18%	89.4	5%	4%	91.0	--
Addendum													
USD	--	-1.1	-2.0	-2.9	-2.2	--	--	16%	--	--	4%	--	--

Note: USD returns average of all other currencies (except ARS, NGN and UAH) with opposite sign; *EM estimates adjusted for per capita income. Spot values as of Thursday.

See dynamic table here (or click image above): <https://publishing.gs.com/content/themes/table.html?criteriaKey=1k2HGqQs2h>

Source: Goldman Sachs Global Investment Research

Disclosure Appendix

Reg AC

We, Kamakshya Trivedi, Michael Cahill, Danny Suwanapruti, Teresa Alves, Karen Reichgott Fishman, Stuart Jenkins, Victor Engel and Lexi Kanter, hereby certify that all of the views expressed in this report accurately reflect our personal views, which have not been influenced by considerations of the firm's business or client relationships.

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Disclosures

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